

Car Loan Calculator

Canada · CAD

Personal Financial Scenario Report

fincalcsmart.com/car-loan-calculator

EXECUTIVE SUMMARY

Watch

CA\$715.35

Monthly Payment

CA\$7,221

Total Interest

CA\$42,921

Total Cost

54/100

Borrowing Cost Score

Fair

LOAN COST BREAKDOWN

83%

17%

Total projected: CA\$42,921

Principal: CA\$35,700 (83.2%) Total Interest: CA\$7,221 (16.8%)

AI-ASSISTED CAR LOAN SUMMARY

This car loan of CA\$35,700 (vehicle price CA\$42,000 minus CA\$6,300 down payment) at 7.5% annual rate over a 60-month term results in a monthly payment of CA\$715.35. Over 60 payments, the total cost is CA\$42,921, of which CA\$7,221 (20.2% of amount financed) is interest. Borrowing Cost Score: 54/100 (Fair).

New car loans in Canada typically range 5–12% APR; used car loans run higher, 8–18%. Your rate of 7.5% is above the typical midpoint. Comparing 2–3 lenders before signing could meaningfully reduce total interest. Interest accounts for CA\$7,221 (20.2% of the amount financed) over the full term, equivalent to CA\$202.28 per CA\$1,000 borrowed. The monthly payment represents 10.7% of gross monthly income — well within the 15% comfort guideline.

Increasing your down payment by CA\$2,100 would reduce total interest by approximately CA\$425 and lower your monthly payment by CA\$42.08. Alternatively, choosing a 48-month term would save CA\$1,488 in interest with a CA\$147.83/month payment increase.

INPUTS & ASSUMPTIONS

Vehicle Price	CA\$42,000
Down Payment	CA\$6,300 (15.0%)
Amount Financed	CA\$35,700
Annual Interest Rate	7.5%
Loan Term	60 months (5 yr)
Annual Income (approx.)	CA\$80,000
Compounding	Monthly

DETAILED RESULTS

Monthly Payment	CA\$715.35
Total Interest	CA\$7,221
Total Cost of Loan	CA\$42,921
Interest / Principal	20.2%
Down Payment	CA\$6,300
Amount Financed	CA\$35,700
Borrowing Cost Score	54/100 (Fair)
Cost per CA\$1,000 Borrowed	CA\$202.28
Payment as % of Income	10.7%

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Down payment: increasing to 20% of vehicle price (CA\$8,400) reduces the amount financed and improves your equity position from day one.
- Shorter term: choosing a 48-month term saves CA\$1,488 in interest at CA\$147.83 more per month — the fastest path to reducing total borrowing cost.
- Rate check: 7.5% annual rate may benefit from shopping 2–3 lenders or improving your credit score before applying.
- Affordability: the monthly payment is 10.7% of gross monthly income. Well within the recommended range.

METHODOLOGY

What this calculator models:

- Calculates the fixed monthly payment using standard amortization: $P \times r / (1 - (1+r)^{-n})$, where r = annual rate / 12 / 100 and n = loan term months.
- Amount financed = vehicle price minus down payment.
- Computes total interest as (monthly payment x n) - amount financed.
- Models the down payment optimization by calculating interest savings from a reduced loan balance.
- Derives Borrowing Cost Score from annual rate and interest ratio components (0–100 scale).
- Calculates DTI as monthly payment divided by gross monthly income (annual income / 12).

What this calculator does not model:

- Vehicle taxes, dealer fees, registration, or documentation charges.
- Automotive insurance or extended warranty costs.
- Vehicle depreciation — actual net vehicle value will differ from loan balance.
- Variable or promotional rates (e.g. 0% manufacturer financing).
- Trade-in value or negative equity rolled into the loan.
- Credit score impact on approval or rate.

EDUCATIONAL DISCLAIMER

This report is for illustrative and informational purposes only. Results assume a fixed interest rate and standard monthly amortization. Vehicle taxes, dealer fees, insurance, and other charges are not included. Actual loan terms depend on your lender and credit profile. This does not constitute financial, tax, or legal advice. Consult a licensed financial advisor before making borrowing decisions.